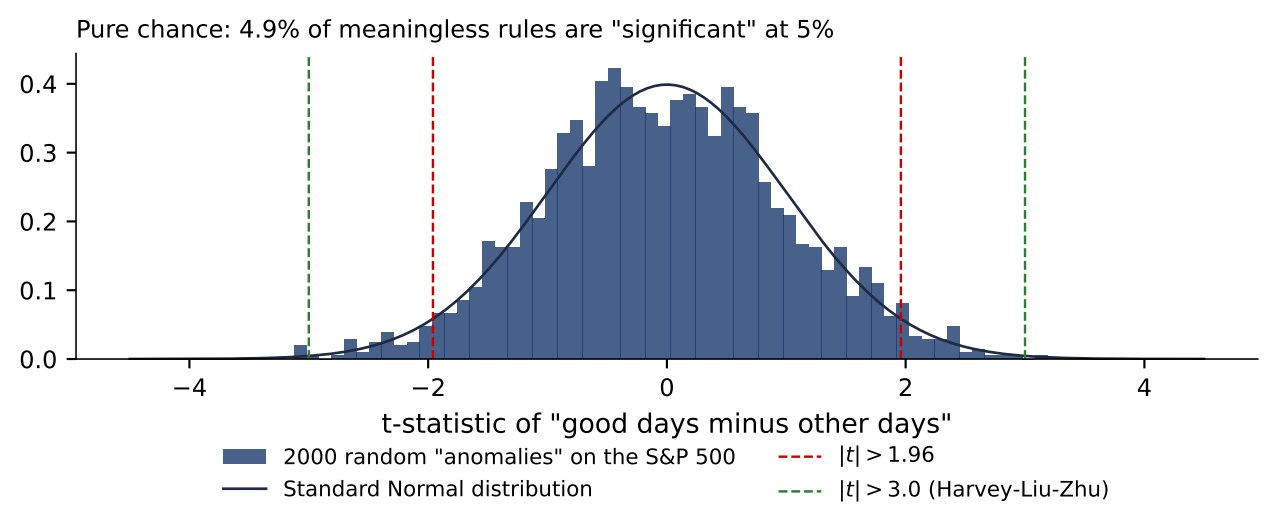
Pure chance: 4.9% of meaningless rules are "significant" at 5%
0.4
0.3
0.2
0.1
0.0
−4
−2
0
2
4
t-statistic of "good days minus other days"
2000 random "anomalies" on the S&P 500
Standard Normal distribution
$|t| > 1.96$
$|t| > 3.0$ (Harvey-Liu-Zhu)